

ITALY 2006

1. Overview of the system

The Italian unemployment benefit system is a complex one, given the differences in eligibility conditions, amount and duration of the treatments existing among the various schemes. The unemployed may receive a contributory unemployment insurance benefit which in most cases amounts to 40 per cent of previous earnings for a maximum of six months while in some other cases it is up to 80 per cent of previous earnings for 4 years (64 per cent from the second year). In recent years the main innovation has been introduced in the ordinary unemployment benefit – the general insurance based scheme: since December 2000 the amount of this benefit has been increased from 30 per cent of previous earnings to 40 per cent and, only in the case of recipients aged over-50, the benefit duration has been extended from six to nine months. The announced general reform of the entire system has not been completed: in 2005 just a temporarily increase (till the end of 2006) in the ordinary unemployment benefit has been implemented.

Concerning the social assistance programmes, in Italy there is not a general minimum income scheme, apart from a recent trial (the so called *reddito minimo di inserimento* -- RMI), initially tested in 1998 in very few municipalities, then extended in 2001 to a still limited area, and eventually terminated by the Parliament. Due to changes in the national Constitution enhancing the power of Regional governments in the social field, a new system of minimum income can be initiated only at regional level, unless the Parliament defines a national minimum standard. Because this was not the case, the measure envisaged in the Budget Law for 2004 – the so called *reddito di ultima istanza* – was ruled out by the Constitutional Court, being considered an illegitimate limitation of the Regional authority. In 2005 Regione Campania was the only region that launched a basic income scheme, although other Regions are working on the possibility to launch similar or more limited initiatives.

With regard to family benefits, the most important ones – the *assegni per il nucleo familiare* (family allowances) – are means tested (on the basis of household income) and are reserved for employees (or benefit recipients, including pensioners and unemployed covered by unemployment insurance schemes, who are former employees). There are also universal family benefits – the maternity allowance and the allowance for households with at least three children – introduced in 1998 and reinforced with the Budget Law for 2001; these benefits are means-tested through an income and wealth measure known as the

Indicator of Economic Situation of the household (in Italian, *indicatore della situazione economica* or, shortly, ISE) introduced in 1998 as a general instrument to evaluate social benefit eligibility.¹

The tax unit is the individual (partners are taxed separately). Family related tax allowances are however very important, globally being larger than the family benefits above mentioned.

The national currency is the Euro. All net incomes, replacement rates and other figures in this report are based on the Italian tax and benefit system in effect as of 1 st January 2006 up to 31 December 2006.

1.1. *Average worker wage (AW)*²

The 2006 AW earnings level is EUR 25 241.

2. **Unemployment insurance**

There are three main types of unemployment benefits: a) Ordinary unemployment benefits, b) Wage supplementation funds (known as *Cassa Integrazione Guadagni* – henceforth CIG, either Ordinary or Special) and c) Mobility benefits. The calculations in this report present different figures for ordinary unemployment benefits and Mobility benefits.

2.1 *Conditions for receipt*

Unemployment insurance is compulsory for private sector employees.

- a) Ordinary unemployment benefits are paid to workers individually laid off in the private sector or collectively laid off but not eligible for other benefits - excluding young workers in vocational training - who have paid contributions for at least 52 weeks during the two-year period preceding unemployment (ordinary requirement). Some benefits may also be reaped by those who worked at least 78 days over the last year (reduced requirement). The latter variant actually represents a different and peculiar scheme, as the duration of the benefits is unrelated to the current labour market status – the allowance is paid the year subsequent to that of reduced work – and is equal to the duration of the employment spell up to a maximum of six months, while the amount of the benefit is equal to the 30 per cent (instead of the 40 per cent) of the previous wage. All in all, the reduced requirement scheme resembles an *ex-post* compensation for those who have worked a

1. The ISE, introduced in 1998 and reformed during 2000, is used only by municipalities in order to grant family and maternity allowances. It corresponds to household taxable income (including a “notional” income from financial assets minus a deduction for households living in rented houses) plus family net wealth as obtained by summing up real estate values (home ownership could be excluded up to a maximum of EUR 51 646) and financial assets (minus a deduction of EUR 15 494) of all family members. The family net wealth is multiplied by a coefficient of 0.20. The resulting value is corrected using the equivalence scale presented in Table 5 below: the ISE corrected by the equivalence scale is called ISEE (*indicatore della situazione economica equivalente*). The ISEE is used by those institutions granting benefits as scholarships, school refectory services, etc or some public utility services (reduction of telephone rent).

Data base related to such indicators is managed by the National Social Security Institute (INPS) that asks individuals all information in order to evaluate social benefit eligibility and, consequently, to release the annual certification.

² AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

limited amount of time (provided a 78 days-in-the-year threshold has been overcome). Particular and more favourable conditions hold for workers in the agricultural and in the building sector. In agriculture, to some extent the actual use of the benefits very much resembles that above illustrated for the reduced requirement scheme. In the building sector, on top of the ordinary scheme there is a special scheme to a large extent resembling the mobility benefits (see later). Eligible people must be fit and available for work (but see above for the reduced requirement scheme).

- b) CIG (CIGo and CIGs – Ordinary and Special wage supplementation funds, respectively). Ordinary benefits are paid to workers for non-worked hours due to temporary reduction or suspension of the activity. Special benefits are paid when the suspension of the activity is not temporary, but is due to sector - or area - specific firm restructuring. Workers of small manufacturing firms (below 15 employees) and of most service activities are excluded from CIG. In both cases, people on these schemes have (at least formally) an on-going work relationship, as their contracts have not been terminated.
- c) Mobility benefits are provided in case of collective dismissals by firms eligible for benefit from the CIGs and in case of individual dismissal of workers already in CIGs or under bankruptcy proceedings.³

Workers receiving mobility benefits and CIGs are eligible for Socially Useful Jobs (*Lavori Socialmente Utili* or LSU), directly created by the State and usually lasting 12 months (albeit prorogation for another 12 months is possible). Workers receiving mobility benefits have to compulsorily accept these jobs if they are asked to, otherwise they lose their benefit. The LSU programs are however under progressive dismantling.

If employed in LSU, workers receiving CIGs and mobility benefits maintain their benefit until it elapses. Afterwards, if they still remained employed in LSU, they will receive a benefit of EUR 495.98 per month, which is the amount paid for LSU if the workers involved are not receiving any other benefit. Workers receiving mobility and CIGs are not the only ones eligible for LSU. Unemployed workers with an unemployment spell of at least two years which usually do not receive any income support are also eligible. No new LSU should be activated after 2002 and the existing ones should be terminated.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

- a) Ordinary unemployment benefits are 40 per cent of the average gross earnings received over the last three months, with a maximum benefit of EUR 830.77 per month (or EUR 4,984.62 for six months, which is the maximum duration for under-50s), raised to EUR 998.50 (EUR 5,991.00 for six months) for gross earnings exceeding EUR 1,797.31 per month. Just for the period 1 April 2005 – 31 December 2007 the ordinary unemployment benefit has been increased to 50% in the first six months of unemployment; after the sixth month the level is set to 40% in the following three months (one month in the case of people aged less than 50; see below) and 30% in the tenth month (only for people aged 50 or above). In the case of reduced requirements, the benefit amount to 30 per cent of previous earnings with a maximum benefit of EUR 819.62 per month, increased to EUR 985.10 for gross earnings exceeding EUR 1773.19 per month.. Different amounts hold for workers in the agricultural and in the building sector.

3. Generally, mobility benefits are limited to collective dismissals in the manufacturing sector excluding small firms.

- b) CIG (both Ordinary and Special) is 80 per cent of the average gross earnings paid for non-worked hours, with a maximum level of benefit equal to that of unemployment benefits.
- c) Mobility benefits equal CIGs for 12 months. They are reduced by 20 per cent after one year, with a maximum level of benefit equal to that of unemployment benefits.

2.2.2 *Income and earnings disregards*

These three benefits are not means-tested. Family benefits can be paid on top of them. It is not possible to receive a certain amount of earnings from work and still be receiving unemployment benefits except for the CIG schemes which intervene for work interruptions. Up to now no practical implementation has been given to the fact that according to the legislative decree 297/2002, people registered as unemployed to the PES have to be “immediately available” to work, being however allowed to work provided their annual earnings are below 7500 euros.

2.3 *Tax treatment of benefit*

All these benefits are taxable; concerning social security contribution, the general rule is that benefits replacing less than 80 per cent of previous income are exempt. Hence, only unemployment benefits and mobility benefits after the first year are exempt from social security contributions (although imputed contributions are attributed to the benefit recipients; this imputed contributions are not affected by the temporarily increase in the ordinary unemployment benefit, which concerns just the benefit paid to workers). However, social security contributions on mobility benefits in the first year and CIG are paid at a reduced rate of 5.54 per cent up to the end of 2006. The tax credit for employees described in section 10.1.1.2 below applies as well to unemployment benefit, CIG and mobility benefit.

2.4 *Benefit duration*

- a) Ordinary unemployment benefits are paid on a 7-day week basis, for a maximum of 180 days, after a 7-day waiting period. For unemployed aged over-50 the duration is extended to nine months. Just for the period 1 April 2005 – 31 December 2007 the duration of the ordinary unemployment benefit has been increased by one month, i.e. to seven months for people under 50 years of age and to ten months for people aged 50 or above. In the case of reduced requirements, duration is equal to the number of days previously worked. Different durations hold for workers in the agricultural and in the building sector.
- b) CIGo (ordinary CIG) is usually paid for 13 weeks but it is possible to obtain some prorogation if the firm remains in a reduction of activity for a longer period. In any case, CIGo cannot be paid for more than 12 months, whether consecutive or non-consecutive, over a period of two years.
- c) CIGs (special CIG) is normally paid for 12 to 24 months (the length depending on the type of difficulties that the firm faces as well as on the restructuring strategy). There is a possibility to obtain some prorogation if restructuring lasts more than 24 months. In any case, CIGs cannot be paid for more than 36 months over 5 years.
- d) The duration of mobility benefits depends on the age of the recipient and on the location of the job. For instance, workers under 40 are entitled to this benefit for 12 or 24 months, respectively, according to whether they had been working in the Centre-North or the South of Italy. Conversely, the benefit duration is extended up to 36 or 48 months respectively for workers over 50 (see Table 1 below).

Table 1. Duration of mobility benefits by age of the worker and geographical location*

Age	Location	
	Centre - North	Mezzogiorno
< 40	1 year	2 years
40 – 49	2 years	3 years
> 49	3 years	4 years

* In any case, duration cannot be longer than length of tenure in the last occupation.

2.5 Treatment of particular groups

2.5.1 Young persons

None.

2.5.2 Older workers

Longer durations of the benefits are established for older workers [see section 2.4 a) and c)].

3. Unemployment assistance

None.

4. Social assistance

There is no universal income support in Italy, except for a social benefit scheme (the so-called *assegno sociale* – “social allowance” – previously known as *pensione sociale* – “social pension”) limited only to people aged over 65 without other sources of income . In 2006 this benefit (that is not taxable) amounts to EUR 381.72 per month for gross annual earnings not exceeding EUR 4,962.36 (in case of recipient not married) and EUR 9,924.72 (if related to the couple).

At local level there can be some provision for people in need, but these are local initiatives in the absence of national guidelines.

5. Housing benefits

In Italy housing policies are addressed both to those who can afford to buy a house (tax allowances for the entire amount of taxes on the imputed income deriving from home ownership (until 2000, there was a limit of ITL 1.8 million [EUR 930]); 19 per cent-tax credit on mortgage loan interests up to certain amount for first-time buyers; there are considerable rebates on property transfer taxes for first-time buyers; low interest loans which are means-tested and regulated by local legislation for first-time buyers) and to those who can only afford to rent a house (means-tested tax credits).

Among the rent assistance provisions, we will focus on:

1. Fiscal measures on rents.

2. Rent subsidies for low-income people. These subsidies are not included in our study because only part of the eligible people are actually covered (in Rome, for instance, only 40 per cent of the eligible actually received the benefit in 2001).
3. Rent-limiting legislation, mainly regulated at local level.
4. Controlled rents for State-owned dwellings.

There is no difference between national rules for pensioners and recipients in their income ages, with the exception of some benefits provided at local level and addressed to the poor and the elderly (over 65).

5.1 Conditions for receipt

- a) Tax credits are granted to people who rent a house and are means-tested.
- b) Rent subsidies for rented houses are granted whenever the household taxable income falls short of twice the amount of the statutory minimum pension (EUR 5,558.54 x 2 = 11,117.08 per year) and the rent exceeds 14 per cent of this income. These are minimal requirements which can be modified at local level.
- c) Limited rents - known as social rents - for people with low-income (below twice the amount of the statutory minimum pension), are set for some categories of State-owned dwellings. Family size and different household needs are considered as eligibility conditions. The claimants are ranked by eligibility conditions on a list which is prepared by municipalities. Most of the stock of buildings so rented have been attributed in the past, the new additions to such a stock being relatively small, according to the households' conditions as experienced in the past.
- d) State-owned dwellings, specifically those belonging to Social Security State Agencies, are generally rented at prices below market value according to criteria which however are not explicitly related to social policy goals.

5.2 Calculation of benefit amount

- a) The yearly housing tax credit is EUR 495.80 if the personal taxable income is less than EUR 15 493.71 per year. It amounts to EUR 247.90 if the personal taxable income ranges between EUR 15 493.71 and 30 987.41 per year. The housing tax credit is provided only for particular types of rent contracts, the so called "contratti a canone convenzionale". However, these contracts are the least utilized of all in Italy.
- b) Rent subsidies for rented houses differ in eligibility conditions and benefit amounts at the regional and municipality level. In the Lazio region (in particular in Rome), for instance, rent subsidies for rented houses are topping-up transfers for those who pay a rent exceeding 14 per cent of their income, up to a ceiling of EUR 3,098,74 per year. For households with disabled or old people (over 65) and with needs implying a significant risk of social exclusion, both the ceiling-related and the income-related eligibility conditions are increased by 25 per cent. Those subsidies are non-taxable.

The maximum amount varies with the size of the city population. In Lombardia, for example, the maximum amount is EUR 3 718 in municipalities with more than 300 000 residents while it is only EUR 3 099 in municipalities with less than 50 000 residents. Moreover, in Lombardia eligibility depends not only on the income level (as in Lazio), but also on the wealth of the

household (the means-testing is operated by a partially modified ISE). Besides, the maximum amount is increased by 30 per cent for every point of the equivalence scale reported in Table 2 above 1.57 (in Lazio, no equivalence scale is used).

Rent-limiting legislation is finalised to set a social rent, the amount of which is subject to regional provisions. For example, in Tuscany the social rent corresponds to 7 per cent of the household income (taxable income, merely including tax credits for all dependent relatives) stemming from labor, pensions, unemployment benefits, social assistance benefits.

The rent paid for State-owned dwellings varies according to the house characteristics, but they are generally set under the market-value, although not according to explicit social policy criteria.

6. Family benefits

6.1 Conditions for receipt

- a) Family allowances. The benefit is means-tested against the total household taxable income. A household is defined as the recipient, his/her spouse, and his/her dependent child/children under 18. Note that a low-income couple with no children is eligible for the benefit. The family allowance scheme grants cash transfers to families of employees and former-employee pensioners and unemployment benefit recipients.
- b) Maternity allowances, enacted in 1999, are granted by municipalities and are addressed to mothers with children below 1 year of age. Mothers must not be insured and must have an ISE below a given threshold. Generally speaking, beneficiaries are unemployed housewives or job seekers.
- c) Allowances to households with at least three children under 18, enacted in 1999, are addressed to households with at least three children younger than 18, whose ISE lies below a given threshold.

The relationship between these benefits lies in its eligibility conditions. All of them are means-tested, though their definition of gross taxable income is different. Graduation according to family size also differs among them.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Family allowances are single cash transfers granted to each family. The benefit varies with the number of family members and is inversely connected to the household taxable income (see Tables 2 to 4, on the benefits granted up to the end of 2006). The benefit is paid by employers on behalf of the National Social Security Institute (*Istituto Nazionale per la Previdenza Sociale*, INPS) and the income brackets are yearly adjusted to the consumer price index.

Part-time workers receive the entire amount of the benefit if they work at least 24 hours per week. If they work less than 24 hours then the benefit is reduced depending on the number of days worked. (the allowance is computed on a six days per week basis). For instance, if somebody works only one day then the benefit is 1/6 of the full amount. It should be noted that if somebody works a few hours every day of the week then no reduction applies since the reduction depends on the number of days worked rather than

the number of hours (in the tax-benefit model it is assumed that people working part-time do not work every day).

Table 2. Family allowances for married couples* without children

(EUR per month)

Household Taxable Income	Number of family members						
	1	2	3	4	5	6	7
0 – 11813.55	-	46.48	82.63	118.79	154.94	191.09	227.24
11813.56 – 14766.30	-	36.15	72.30	103.29	144.61	185.92	216.91
14766.31 – 17719.04	-	25.82	56.81	87.80	129.11	180.76	206.58
17719.05 – 20670.63	-	10.33	41.32	72.30	113.62	170.43	196.25
20670.64 – 23622.78	-	-	25.82	56.81	103.29	165.27	185.92
23622.79 – 26576.10	-	-	10.33	41.32	87.80	154.94	175.60
26576.11 – 29528.26	-	-	-	25.82	61.97	139.44	160.10
29528.27 – 32479.85	-	-	-	10.33	36.15	123.95	144.61
32479.86 – 35431.43	-	-	-	-	10.33	108.46	134.28
35431.44 – 38384.17	-	-	-	-	-	51.65	118.79
38384.18 – 41366.92	-	-	-	-	-	-	51.65

* Married couple with no children or couple with dependent relatives.

For families with more than 7 members, family allowances are increased by 10 per cent of the amount in column 7 plus EUR 53.71 per each subsequent child.

Table 3. Family allowances for married couples with at least one child*

(EUR per month)

Household taxable income	Number of family members						
	1	2	3	4	5	6	7
0-12437.25	-	-	130.66	250.48	358.94	492.18	619.75
12437.26-15389.99	-	-	114.65	220.53	339.83	481.34	600.64
15390.00 – 18342.15	-	-	92.45	190.57	312.97	473.07	584.11
18342.16 – 21293.16	-	-	65.59	158.04	283.02	453.97	565.00
21293.17 – 24246.48	-	-	43.90	111.55	241.70	407.48	507.68
24246.49. – 27198.63.	-	-	25.82	81.60	217.43	390.96	488.57

OECD - Social Policy Division - Directorate of Employment, Labour and Social Affairs
Country chapter - Benefits and Wages (www.oecd.org/els/social/workincentives)

27198.64. – 30151.94.	-	-	15.49	57.33	176.63	364.10	466.88
30151.95. – 33102.97.	-	-	15.49	38.73	135.83	339.31	439.50
33102.98. – 36055.14.	-	-	12.91	25.82	102.77	317.62	426.08
36055.15. – 39006.72.	-	-	12.91	25.82	91.93	225.18	398.70
39006.73 – 41960.62 ..	-	-	12.91	23.24	91.93	154.42	292.83
41960.63 – 44912.76..	-	-	-	23.24	78.50	154.42	218.98
44912,77 47865.52....	-	-	-	23.24	78.50	132.21	218.98
47865.63– 50817.67....	-	-	-	-	78.50	132.21	189.02
50817.68– 53771.00....	-	-	-	-	-	132.21	189.02
53771.01– 56724.32....	-	-	-	-	-	-	189.02

* For families with more than 7 members, family allowances are increased by 10 per cent of the amount in column 7 plus EUR 53.71 per each subsequent child.

Table 4. Family allowances for lone parents*

(EUR per month)

Household taxable income	Number of family members						
	1	2	3	4	5	6	7
0 – 14405.35..	-	99.68	184.89	412.13	554.16	724.59	891.92
14405.36-17358.11....	-	79.53	164.75	372.37	531.43	715.81	869.20
17358.12-20309.10....	-	54.23	136.34	332.60	491.67	701.86	843.89
20309.11-23261.85....	-	23.24	102.26	289.73	454.48	676.04	821.17
23261.86-26215.18....	-	20.66	73.85	230.34	403.35	616.65	744.21
26215.19–29167.34....	-	20.66	48.55	190.57	369.27	593.93	721.49
29167.35-32119.48....	-	-	34.09	159.07	315.56	559.84	693.09
32119.49-35071.66....	-	-	34.09	136.34	261.33	528.34	659.00
35071.67-38023.24....	-	-	28.41	119.30	221.56	499.93	639.37
38023.25-40977.14....	-	-	28.41	119.30	204.52	378.05	605.29
40977.15-43929.87....	-	-	28.41	102.26	204.52	284.05	465.84
43929.88-46880.88....	-	-	-	102.26	176.11	284.05	369.27
46880.89-49834.21....	-	-	-	102.26	176.11	244.28	369.27
49834.22-52786.94....	-	-	-	-	176.11	244.28	318.14
52786.95-55740.25...	-	-	-	-	-	244.28	318.14
55740.26-58692.41....	-	-	-	-	-	-	318.14

* For families with more than 7 members, family allowances are increased by 10 per cent of the amount in column 7 plus EUR 53.71 per each subsequent child.

Maternity allowances granted by municipalities amount to EUR 288.75 per five months (EUR 1,443.75 per year)⁴ and is granted to mothers whose ISE (see section 1, note 1) lies below a threshold. Insured mothers receiving maternity benefits smaller than that amount are entitled to receive the difference. The threshold has been fixed by the law with reference to a three-member family: in this case mothers can receive the allowance in 2006 if their ISE is below EUR 30,099.59. The threshold is modified according to the equivalence scale in Table 5 below: for example, it rises to EUR 36,420.50 (that is EUR 30,099.59 x 2.46/2.04) and to EUR 42,139.43 (that is EUR 30,099.59 x 2.85/2.04)⁵ respectively for households with four or five members.

Another scheme of maternity allowance is provided at national level and is addressed to mothers who have resigned their job during their pregnancy and have paid contributions for at least three months over the period between 18 and 9 months preceding birth. Mothers who receive this benefit are not eligible for other maternity allowances.

Table 5. Equivalence scale to be applied to the Indicator of Economic Situation (ISE)

Number of family members	Parameters
1	1
2	1.57
3	2.04
4	2.46
5	2.85*

* For households with more than 5 members, the parameter is increased by 0.35 for each member above the fifth. Moreover, the parameters shown in Table 2 are increased by:

- 0.2 for lone parents with children.
- 0.5 for each disabled member of the household.
- 0.2 for couples with children, when both parents are working.

Source: Legislative Decree n. 109 of 18 June 1998.

The allowance to households with at least three children aged -18 is equal to EUR 120,39 per month (EUR 1,565.07 per year), and is granted to households whose ISE lies below a threshold. The threshold has been fixed by the law with reference to a five-member family: in this case households can receive the allowance in 2006 if their ISE is below EUR 21,671.69. The threshold is modified according to the equivalence scale in Table 5: for example, it corresponds to EUR 18,637,65 (that is EUR 21,671.69 x 2.46/2.85), and to EUR 24,272.29 (that is EUR 21,671.69 x 3.2/2.85) respectively for households with four or six members.

The whole annual benefit - worth EUR 1,565.07 - is provided in the case whereby the total ISE is smaller than or equal to the difference between the threshold and twice the value of the maximum benefit. For instance, a five-member family whose total income is less than or equal to EUR 18,541.55 - which corresponds to the threshold (EUR 21,671.69) minus twice the benefit (EUR 1,565.07 x 2) - is entitled to the whole benefit. In the case whereby the total ISE falls within the difference between the threshold and the threshold minus twice the maximum benefit, the allowance corresponds to the difference between the

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4. The amount was ITL 200 000 (EUR 103.29) per month till the end of 2000. It was increased to ITL 500 000 (EUR 258.23) from the beginning of 2001 and afterwards adjusted by the relevant price index.
 5. The ratios between the parameters are always rounded to the second decimal (for instance, 1.397 becomes 1.40).

threshold and the total ISE.⁶ Both allowances and the corresponding thresholds are adjusted yearly to the consumer price index. Both benefits are administered at the local level and provided by INPS on behalf of municipalities.

6.2.2 *Income and earnings disregards*

Total household taxable income is considered in assessing family allowances benefits; however, the benefit is granted only if at least 70 per cent of the income stems from wages and salaries and former-employees' pensions.

6.3 *Tax treatment of benefit*

Not taxable.

6.4 *Treatment of particular groups*

Both the income brackets and the amounts of allowances to employees and pensioners are modified whenever there are disabled people and/or lone parents within the family.

The scale of equivalence set for mother allowances and for allowance to households with at least three children is modified when there are disabled people and/or lone parents within the family and/or when both parents work (see Table 5). Moreover, households with disabled members and/or with children have a priority right for the minimum income support benefit.

Free books and scholarships are provided to students belonging to families with an ISEE below EUR 10 632.94 in the case of a household with three members. The threshold is modified according to the equivalence scale in Table 5.

7. **Childcare for pre-school children**

Concerning the childcare system for children 0-3 years old, it is not possible to identify a "representative" case. The reason is that childcare measures, administered at municipal level, have a very high degree of variability, not only at national level, but also at a regional one and even in the same province for very close municipalities. Moreover, there is no guarantee that the service is offered (or financed) by the public administration.

According to the survey about municipal social services referred to 2003 the slots covered by municipal interventions are 9.1% of the 0-3 years kids.

7.1 *Out-of-pocket childcare fees paid by parents*

The rebates of out-of-pocket childcare fees paid by parents is not universally provided but eventually administered at municipal level. In some cases a means-tested voucher is paid by local administrations in order to cover such expenditures, under the condition of using it only in certified institutions. This holds for children 0-3 years old. In the pre-school years, childcare services are offered almost universally and are free of charge for the families.

6. Until the end of 2000 the allowance corresponded to half this difference.

7.2 *Child-care benefits*

Child-care services are essentially nurseries for children below 3 years of age. They are provided according to rules set by regional laws and implemented at municipal level with different criteria. Those measures mainly consist of in-kind means-tested benefits. Generally speaking, the household income and composition are considered to rank eligibility and fees. Above 3 years of age, while not compulsory, the public system provides for an almost universal and free of charge coverage (except for food) through the State and municipal “maternal” schools.

[We are not able to provide more detailed information]

8. **Employment-conditional benefits**

Family allowances to employees are described in section 6.2.1. These are in-work benefits except for the case of former employees (as pensioners or unemployment benefit recipients) who are also entitled until they receive the benefit.

Another form of employment-conditional benefit – delivered through the tax system – is the tax credit for employees described in section 10.1.1.2.

Supplementary benefits (*integrazioni al minimo*) for low-income households are granted to recipients of old-age and survivors’ pensions whenever their accrued benefits fall short of a statutory minimum, set equal to EUR 5,558.54 per year in 2006. Eligibility for supplementary benefits is subject to the requirement that the claimant’s personal taxable income - if married, that both partners’ cumulated incomes - be below a given threshold. While the 1995 pension reform abolished supplementary benefits for new enrollees, no changes were introduced for all other cases.

Since 1998 self-employed women have been entitled to a birth allowance (*una tantum*), the amount of which depends on the contribution amount for disability and survivor’s insurance.

Moreover, this category of workers, provided they are enrolled in the special pension funds for self-employed run by INPS, are entitled to family allowance benefits, as shown in section 6.2.1.

9. **Lone-parent benefits**

See family benefits in section 6.

10. **Tax system**

10.1 *Personal income tax*

10.1.1 *Central government income tax*

10.1.1.1 Tax unit

Spouses are taxed separately.

10.1.1.2 Tax allowances and tax credits

10.1.1.21 Standard allowance

A reform of the personal income tax (IRPEF) has started with the 2003 Financial Law which introduces a “no tax area” that results from the calculation of income related tax allowances. This set of new measures leads to tax savings for low/middle income earners.

The standard allowance (“no tax area”) is EUR 7 500.00.

The actual allowance granted to each individual depends on the value of a ratio that is defined as a function of gross income after fiscal deductions and represented by the following formula:

$$(26000 + 7500 - (\text{gross income} - \text{tax deductions})) / 26000.$$

Furthermore the value of the ratio changes according to the length of the effective employment spell.

The way in which the actual allowance is to be computed is illustrated in the following table:

ratio > or = 1	Actual allowance = Standard allowance
0 < ratio < 1	Actual allowance = 7 500.00 * ratio
ratio < or = 0	Actual allowance = 0

- *Personal allowances for family dependents – “family area”*

The maximum tax allowances for family dependents, with income not exceeding EUR 2 840.51, are as follows:

Family Dependents	Maximum Allowance (EUR)
spouse	3 200.00
child	2 900.00
child under three years of age	3 450.00
first child (single parent) *	3 200.00
disabled child	3 700.00
other dependent relatives	2 900.00

(*) If the taxpayer is a single parent the law provides for a tax allowance for the first child equal to the most favourable between the allowance for the dependent spouse and the child allowance.

The actual allowance granted to each individual depends on the value of a ratio that is defined as a function of gross income after fiscal deductions:

$$(78000 + \text{maximum family allowance} - (\text{gross income} - \text{tax deductions})) / 78000$$

and is calculated as follows:

ratio > or = 1	Actual allowance = maximum family allowance
0 < ratio < 1	Actual allowance = maximum family allowance * ratio
ratio < or = 0	Actual allowance = 0

Tax allowances for children can be distributed between parents to allow them to take full advantage of these allowances.

An additional tax allowance has been introduced for expenses incurred by taxpayers to pay carers of non self-sufficient relatives. There is a ceiling of € 1820 on the expenses that a taxpayer can claim for. Also in this case, the actual allowance granted to each individual depends on the value of a ratio that is defined as a function of net income:

$$[78000 + \text{expenses actually incurred (max € 1820)} + \text{maximum family allowance} - (\text{gross income} - \text{tax deductions})] / 78000$$

and is calculated as follows:

ratio > or = 1	Actual allowance = expenses actually incurred (max € 1820)
0 < ratio < 1	Actual allowance = expenses actually incurred (max € 1820) * ratio
ratio < or = 0	Actual allowance = 0

10.1.1.22. Principal non standard tax allowances and tax credits

- *Social security contributions due by law*
 - Other compulsory contributions
 - Periodical benefits allowed to the spouse fixed by judicial authority
 - Charitable donations to certain religious institutions (up to EUR 1 032.91)
 - Medical and assistance expenses incurred by handicapped persons
 - Expenses to restore one's own residence at 36 per cent of full expenses, apportioned into 5 or 10 annual allowances of the same amount
 - Credit for leaseholders of principal residence (a sum of EUR 495.80 for income up to EUR 15 493.71 and a sum of EUR 247.90 for income up to EUR 30 987.41)

As to the following expenses, a tax credit of 19 per cent of each incurred expense is allowed:

- Mortgage loan interest (up to EUR 1 807.60 or EUR 3 615.20 according to circumstances)
- Most medical expenses that exceed EUR 129.11
- Payments to insurance funds up to EUR 1 291.14
- Expenses to attend secondary school and university courses; in case such courses are private, the expenses allowed cannot exceed those foreseen for State courses
- Funeral charges up to EUR 1 549.37
- Expenses for disabled persons
- Donations to political parties (ranging from EUR 51.65 to EUR 103 291.38)
- Payments to foundations (up to EUR 2 065.83).

10.1.1.3. Tax schedule

The following tax schedule is applied to taxable income:

Brackets (EUR)	Rate (%)
up to 26 000	23
over 26 000 up to 33 500	33
over 33 500	39

Additionally, there is a solidarity contribution of 4% for incomes above €. 100,000.00, bringing the tax rate up to 43%.

However, a safeguard clause gives the tax payers the right to file their taxes under the old rules, if that is to their advantage.

10.2. *State and local taxes*

The “no tax area” is not taken into account for determining taxable income for the local surcharges. The local surcharges are computed with reference to the old definition of the tax base (taxable income without consideration to the “no tax area” allowance); these surcharges are, however, due only by taxpayers who pay the IRPEF.

10.2.1 *Regional surcharge tax*

This surcharge tax has been introduced in 1998. The tax is levied by each region on resident taxpayers’ total taxable income at a discretionary rate, which must fall within an established range. As from the year 2000 this range is 0.9 per cent – 1.4 per cent. For the year 2006 twelve regions have applied rates of 1.4 per cent.

10.2.2 *Local surcharge tax*

This surcharge tax has been introduced in 1999. The tax may be levied by each local government at an initial rate that cannot exceed 0.2 per cent. If the tax is levied, the local government can increase the initial rate, on a yearly basis, up to a maximum of 0.5 per cent. Each yearly increase cannot exceed 0.2 per cent.

Where a local surcharge tax has been introduced before 29th September 2002 the municipal-governments are not allowed to increase the rate until December 2006. However, the 2005 Financial Law allows those municipalities which have not introduced the local surcharge yet, to introduce it at rate not exceeding 0.1%; also in this case the rate cannot be increased until December 2006.

11. Compulsory Social Security

The average rate charged to an employee is 9.19 per cent up to EUR 39,297.00 and 10.19 per cent above this amount. Income above EUR 85,478,00 is not subject to Social Security contributions.

Such obligation is also provided for parasubordinate workers (18.20 per cent) and self-employed such as traders (17.79 per cent), craftsmen (17.40 per cent) and professional men⁷.

There is no distinction by marital status or sex.

12. Policy developments

12.1 Policy changes introduced during the last year

The main change introduced in 2005 concerns the ordinary unemployment benefit scheme: it was temporarily increased (till the end of 2006) from 40% to 50% of previous earnings in the first six months of unemployment and the duration was extended by one month, i.e. to seven months for people aged less than 50 (at 40 % of previous earnings) and to ten months for people aged 50 or more (the tenth month at 30% of previous earnings).

The 2006 Financial Law provides an exemption for employer's social security contributions of one percentage point.

12.2 Policy changes announced

During 2002, following an agreement with most of the social partners (the so-called, *Patto per l'Italia*, not signed by the greatest trade union), the Government presented to the Parliament a law aiming to deeply redefine the unemployed benefit system. This law is still to be passed by the Parliament. According to it, the ordinary unemployment benefit will be increased with a mechanism of phasing-out, namely: 60% of previous wage in the first six months of unemployment, 40% in the subsequent three months, 30% for the last three months. Hence, the maximum duration will be extended from 6 months (see Section 2.4) to 1 year. However, unemployment benefits (of all kinds) will not be paid for more than 24 months (30 in the Mezzogiorno) in 5 years. A close link with active labour market policies will be established.

⁷ There are different social compulsory rates for every professional fund.